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Strategic Trading Analysis

Based on the provided `ASHOKLEY.NS` (Ashok Leyland) detailed analysis report (dated Feb 21, 2026), here is the audit and trading recommendation.

Step 1: Audit the Data

- **Data Present:**
  - **Price Action:** Daily, Weekly, and 15-min charts with clear EMA structures (20, 50, 200).
  - **Indicators:** MACD, RSI, Bollinger Bands, Supertrend, and Volume Analysis.
  - **Trend Classification:** Relative Strength (RS) analysis, Candlestick pattern recognition, and Moving Average crossovers.
  - **Fundamentals:** Valuation (PE), Broker Targets, and Revenue/EPS growth trends.
- **Data Missing:**
  - **Fibonacci Retracements:** No specific Fibonacci levels drawn to identify algorithmic support/resistance targets.
  - **Sector Breadth:** While "Auto" sector is mentioned, a comparative chart of the specific sector index vs. the stock is limited to RS lines.
- **Confidence Level: High**. The report provides a comprehensive 360-degree view (Technical, Fundamental, and Quantitative), allowing for a high-probability assessment despite the synthetic/future date stamp (2026).

Step 2: Analyze the Setup

- **Trend Status (Bullish):** The stock is in a confirmed uptrend across all major timeframes (Weekly, Daily, 15m). Price is trading above the 20, 50, and 200 EMAs, and the Supertrend is positive (Green).
- **Momentum (Mixed/Weakening):** This is the primary risk factor.
  - **RS Analysis:** The stock is classified as a "**Weakening Leader**," indicating it is losing momentum relative to the benchmark.
  - **MACD:** The Daily MACD is **Bearish** (Signal line crossed above MACD line), suggesting immediate momentum is fading.
  - **Volume:** The report notes "Buying Exhaustion" and recent "Distribution Days," implying institutional selling into strength.
- **Structure:** The stock is trading at INR 208.85, hovering near its Upper Bollinger Band (214.08) but showing signs of consolidation. The immediate support is the 20 EMA at INR 201.65.
- **Valuation:** The fundamental snapshot indicates the stock is "Overvalued" with analyst targets (INR 203) currently *below* the market price. This suggests limited upside from valuation expansion alone; further gains must be driven purely by technical momentum.

Step 3: Formulate the Recommendation

Should I enter this stock now?NO.

Why Invalid: Entering at the Current Market Price (CMP) of INR 208.85 is a low-probability trade for an intermediate swing because:1. **Poor Risk/Reward:** You are buying near the top of the Bollinger Band range while the stock is flagged as a "Weakening Leader."2. **Bearish Divergence:** The daily MACD is negative, and volume is showing distribution. This often precedes a period of sideways consolidation or a pullback.3.

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Extended Price: The price is approx. 3.5% above its mean (20 EMA). Professional positioning requires buying *at* the mean, not extended from it.

Conditional Plan (Buy on Pullback): The trend is strong enough to buy, but you must wait for the price to come to you to improve the Risk/Reward ratio.

- **Condition to Buy:** Wait for a pullback and a successful bounce off the **20-day EMA** or the psychological INR 200 level. Do not catch a falling knife; wait for a green candle close near this zone.
- **Entry Price: INR 201.00 - INR 203.00** (Limit Order zone).
- **Stop Loss: INR 194.00** (Daily Close).
  - *Rationale:* This places risk below the 20 EMA and the recent swing lows. If it breaks INR 194, the immediate uptrend is violated.
- **Take Profit: INR 225.00**
  - *Rationale:* This targets a ~10-12% upside move, testing the trend extension and exceeding the recent highs.

Candlestick Classification Analysis

Based on the **Candlestick Classification Report (Pages 20 & 21)** and the specific logic provided, here is my analysis as a seasoned Price Action Trader.

Executive Summary: The Verdict

Directional Bias: Bullish Continuation (Cautious)

The stock is currently under **Buyer Control (+1)**. While not an explosive "Strong Control" signal, the price action suggests that buyers have successfully absorbed the recent selling pressure and are positioning for a retest of the highs. The market structure is constructive, but the lack of "Strong" momentum suggests a grinding move higher rather than a vertical breakout immediately.

Detailed Analysis of the Classification Metrics

1. Latest Signal: Buyer Control (+1)

- **Interpretation:** The most recent trading session ended with a moderate bullish candle or a strong candle on lower volume.
- **Logic Applied:** According to your documentation, this score implies a body size between 0.8-1.5 ATR (moderate conviction) or a situation where price closed higher but volume wasn't high enough (>1.3x) to trigger the "Strong" (+2) multiplier.
- **Trader's View:** This is a "maintenance" candle. Buyers are comfortable holding the price near INR 208.85 over the weekend/overnight. They defended the trend without needing to panic-buy. This is often more sustainable than a volatile +2 spike.

2. Recent Trend Score (10-day avg): 0.00

- **Interpretation:** This is a critical data point. A score of 0.00 over 10 days indicates **Equilibrium**.
- **Context:** Looking at the chart on Page 21, the stock recently hit a peak, pulled back (Seller Control

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candles), and is now bouncing back (Buyer Control candles). The net result of this tug-of-war is zero.
- **Prediction:** We are likely breaking out of a short-term consolidation box. The move from 0.00 average to a +1 current signal is a "change of character" (ChoCH) indicating the consolidation is resolving to the upside.

3. Historical Distribution (The "Personality" of the Stock)

- **No Control (0):** 119 occurrences (Dominant)
- **Buyer Control (+1):** 59 occurrences
- **Seller Control (-1):** 44 occurrences
- **Strong Signals (+/- 2):** Very rare (only 6 total)
- **Trader's Insight:** This stock is a **"Grinder."** It spends most of its time in indecision (dojis, small bodies, messy wicks). It rarely gives clean "Strong Control" breakout signals. Therefore, waiting for a +2 signal might result in missing the move. A +1 signal on this specific stock is significant because it deviates from its standard "No Control" behavior.

Chart Analysis (Page 21 Visualization)

- **Price Action:** The daily chart shows a clear primary uptrend. The candles leading up to the current bar show a minor pullback that was bought up. The wicks on the recent red candles were relatively small, and the current green candle (Buyer Control) seems to be closing near its high, negating the previous bearish attempts.
- **Volume Validation:** On the bottom pane of Page 21, the volume for the latest green candle is average-it is not a massive spike.
  - *Logic Check:* If volume were >1.3x average with this price move, the system would have classified it as "Buyer Strong Control (+2)". Since it is classified as "Buyer Control (+1)", the volume is likely "Normal" or "Low".
  - *Implication:* This is an accumulation on quiet volume. Institutions often buy quietly (Buyer Control) before the public jumps in (high volume spikes).

Future Price Prediction & Strategy

Prediction: Price is likely to drift higher toward the **INR 212 - INR 215** zone. The "Buyer Control" status suggests the path of least resistance is up, but the 0.00 trend score warns that volatility is compressing. We are setting up for an expansion.

Watch Levels:* **Bullish Confirmation:** If the next candle maintains "Buyer Control" or shifts to "No Control" with a higher close (staying above INR 208).* **Failure Scenario:** If we see a "Seller Control (-1)" candle immediately following this one, it confirms the 0.00 trend score was actually a top formation.

Trading Stance: Since the system has identified **Buyer Control** after a period of neutrality (0.00 avg), I would treat this as a **Buy/Hold** signal, anticipating a retest of the recent swing high. The lack of "Seller Strong Control" candles during the recent pullback is a very positive sign for bulls.

News & Analyst Targets

As a stock research analyst, I have compiled the latest developments, brokerage views, and market data for **Ashok Leyland (ASHOKLEY)** for the week ending **February 21, 2026**.

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1) Latest News for ASHOKLEY (Week of Feb 15-21, 2026)

- **Partnership with Rajasthan Gramin Bank (Feb 20, 2026):** Ashok Leyland signed a Memorandum of Understanding (MoU) with Rajasthan Gramin Bank to provide customized vehicle financing solutions. This move is aimed at boosting sales in rural and semi-urban markets by offering easier credit access to customers.
- **Voluntary Liquidation of Subsidiary (Feb 19, 2026):** The company successfully completed the voluntary liquidation of its step-down subsidiary, **Ashok Leyland West Africa SA**. The company clarified that this is a non-material subsidiary, and its closure will not impact the company's quantitative or qualitative operations.
- **Major Service Network Expansion (Feb 19, 2026):** The company announced an aggressive plan to expand its after-sales network in Western India. It plans to add **30 new service touchpoints** in Maharashtra and surrounding regions within the next year to reduce the service gap to every 25 km, specifically targeting the Light Commercial Vehicle (LCV) segment.
- **International Defense & EV Push (Mid-Feb 2026):** Reports confirmed a strategic MoU with **PT Pindad** in Indonesia to co-develop electric buses and defense vehicles, marking Ashok Leyland's entry into the Indonesian market. Additionally, the company is setting up a new assembly unit in Saudi Arabia to handle capacity constraints at its UAE plant.

2) Brokerage Upgrades & Downgrades

The analyst community is currently divided. While the long-term structural story remains intact, some brokerages have downgraded their ratings citing recent stock price appreciation (valuation concerns) and near-term margin pressures.

- **Upgrade: Nirmal Bang** upgraded the stock to **BUY** from Hold, citing strong volume growth visibility.
- **Downgrade: Nomura** downgraded the stock to **NEUTRAL** (from Buy) but raised the target slightly, suggesting the price has run up too fast.
- **Downgrade: Asian Markets** downgraded the stock to **SELL** (from Reduce).
- **Downgrade: Investment Guru** moved the rating to **ADD** (from Buy), valuing the stock fairly after its recent rally.

3) Other News Impacting ASHOKLEY

- **Record Q3 FY26 Financials:** The stock continues to react to its Q3 results released earlier this month, where it reported a **21.7% YoY revenue growth** and highest-ever Q3 EBITDA margins of **13.3%**.
- **January Sales Surge:** Recent data showed January 2026 sales grew by **27% YoY**, driven heavily by the Medium & Heavy Commercial Vehicle (MHCV) truck segment, which skyrocketed **45%**. This confirms a strong industrial replacement cycle is underway.
- **Macro Factors:** The commercial vehicle sector is currently benefiting from stable freight rates and the government's infrastructure push. However, rising input costs (steel and rubber) remain a key monitorable for margins in the coming quarter.

4) Latest Analyst Price Targets

Below is the summary of the most recent price targets and ratings issued by major brokerage firms in February 2026.

Brokerage Firm	Rating	Price Target (INR)	Date Issued	Note
JM Financial	BUY	245	Feb 12, 2026	Maintains bullish view on cycle recovery.

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Brokerage Firm	Rating	Price Target (INR)	Date Issued	Note
Nirmal Bang	BUY	240	Feb 12, 2026	Upgraded from Hold.
Motilal Oswal	BUY	238	Feb 17, 2026	Cites strong margin expansion and low debt.
Investment Guru	ADD	225	Feb 13, 2026	Downgraded from Buy due to valuation.
Nomura	NEUTRAL	218	Feb 13, 2026	Downgraded from Buy; target raised slightly.
Trendlyne Consensus	HOLD/BUY	~203	Feb 21, 2026	Average of combined analyst estimates.
Jefferies	HOLD	190	Feb 12, 2026	Raised target from 175; remains cautious.
Kotak Inst. Equities	SELL	190	Feb 11, 2026	Concerns over cyclical peak valuations.
Asian Markets	SELL	155	Feb 13, 2026	Deep discount to current market price.

Analyst Summary: The consensus is tilting toward "Accumulate/Buy" on dips, but the divergence between targets (Low of 155 vs. High of 245) indicates uncertainty about how much upside is left in the near term after the recent rally.

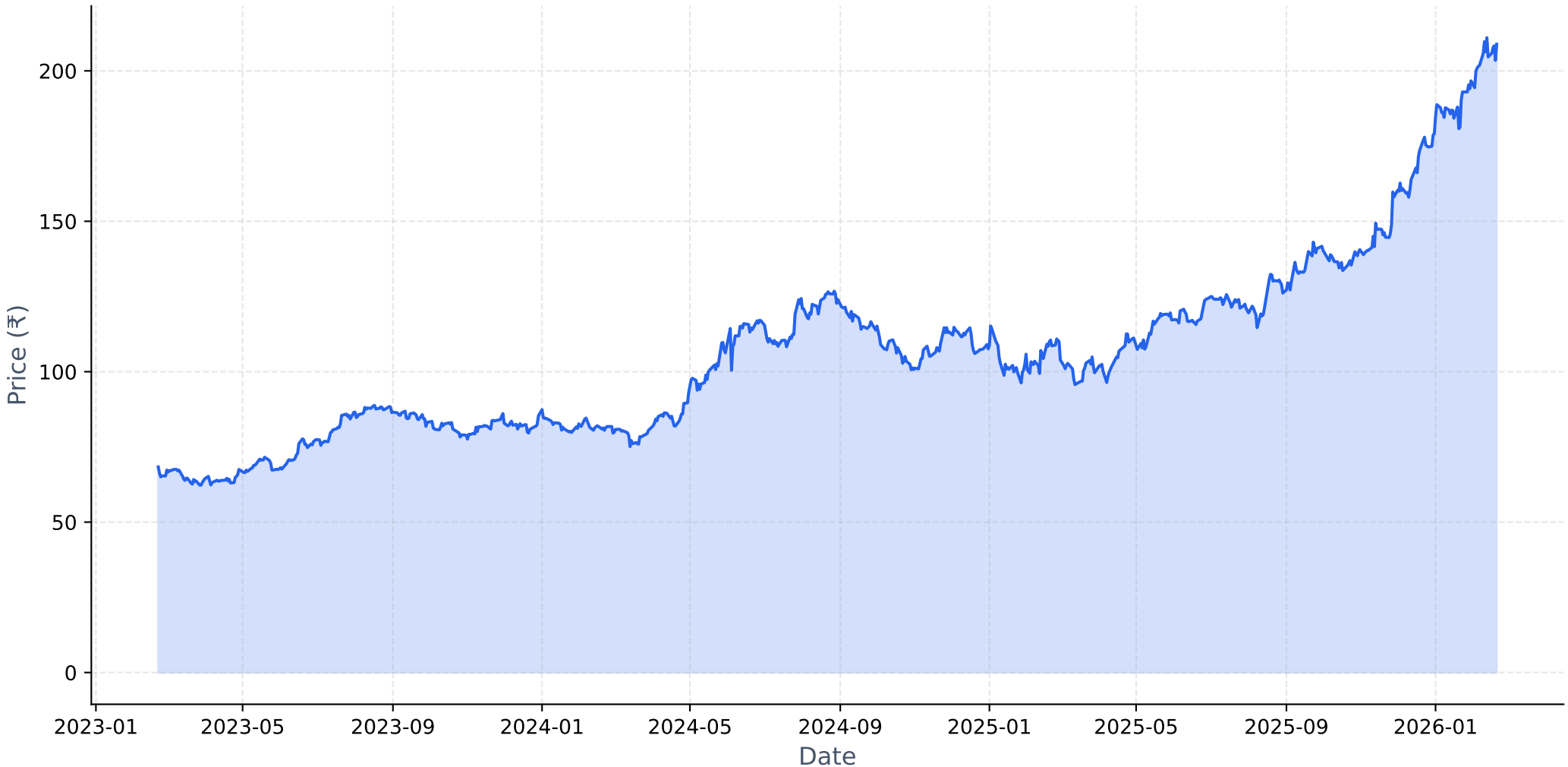
Stock Detailed Analysis Report

ASHOKLEY.NS

Current Price: ₹208.85

Generated: 2026-02-21 09:29

ASHOKLEY.NS - 3 Year Daily Price Chart



Long-term Fundamental Analysis (4 Years)

Metric	Is Growing?	Accelerating?	1Y Growth	3Y CAGR
Revenue	Yes	No	6.21%	22.79%

Short-term Fundamental Analysis (6 Quarters)

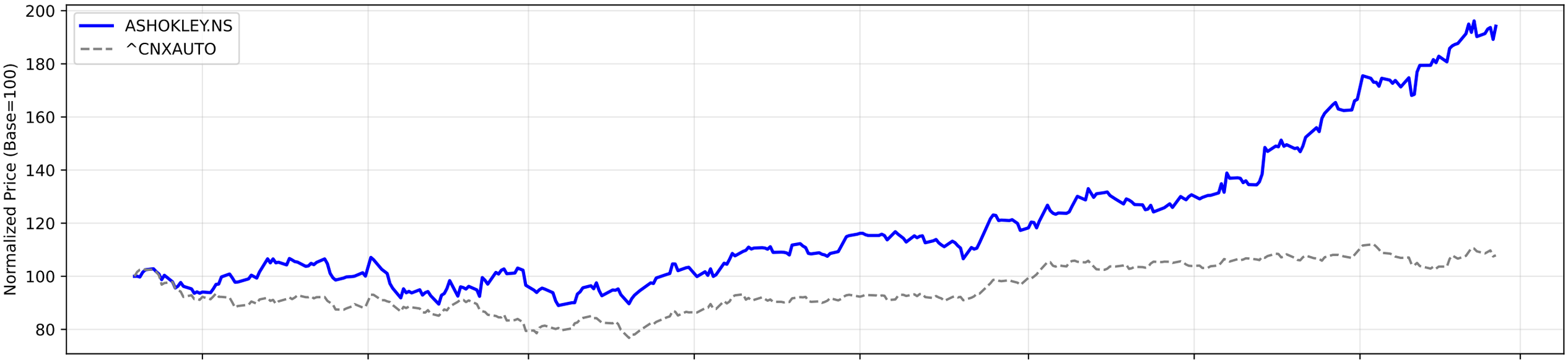
Metric	Is Growing?	Recent QoQ	Avg QoQ
Revenue	Yes	17.92%	6.87%
Net Income	Yes	7.64%	8.43%
ROE	No	-34.99%	-34.99%
EPS	Yes	6.98%	54.46%

ASHOKLEY.NS - Relative Strength Analysis

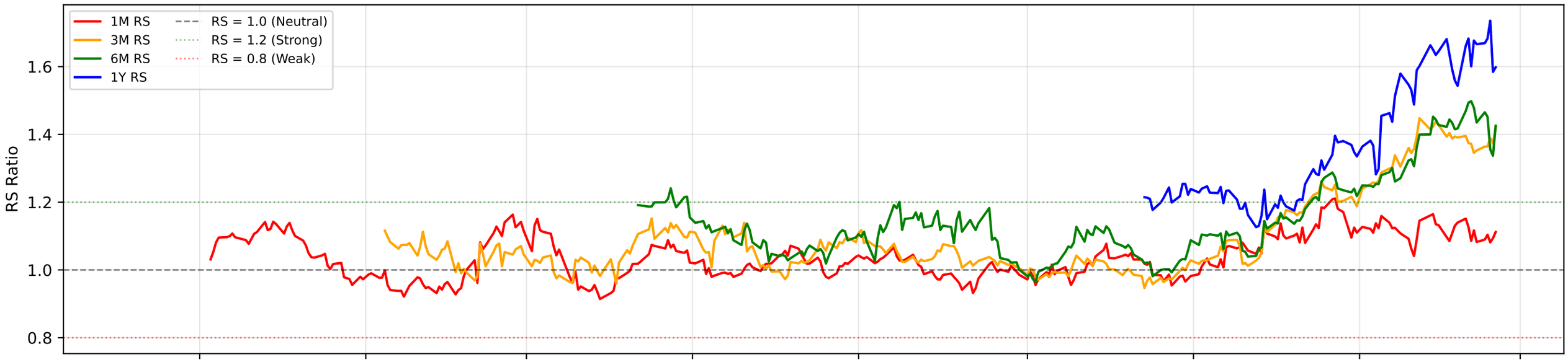
═══ OVERVIEW ═══:	
Benchmark Index:	^CNXAUTO
Sector:	Auto
Classification:	**Weakening Leader**
RS Score:	67.8/100
:	
═══ RS RATIOS ═══:	
1M RS:	**1.112 [Leader]**
3M RS:	**1.422 [Strong]**
6M RS:	**1.425 [Strong]**
1Y RS:	**1.598 [Strong]**
:	
═══ TURNAROUND ANALYSIS ═══:	
Turnaround Status:	**Not Detected**
:	
SIGNAL CRITERIA::	
✗ Emerging RS:	**Not accelerating**
✗ Medium-term Lagging:	**Not lagging**
✗ Performance Improving:	**Not improving**

Relative Strength Analysis: ASHOKLEY.NS vs ^CNXAUTO
Classification: Weakening Leader

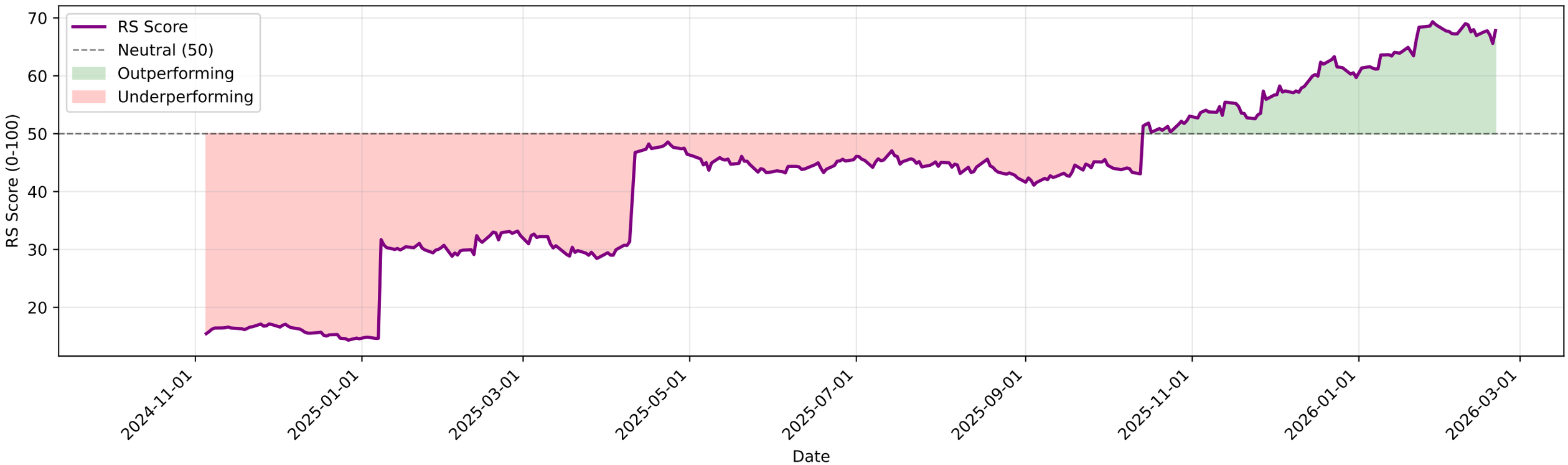
Price Performance Comparison (Normalized)



RS Ratio Trends (Multiple Timeframes)

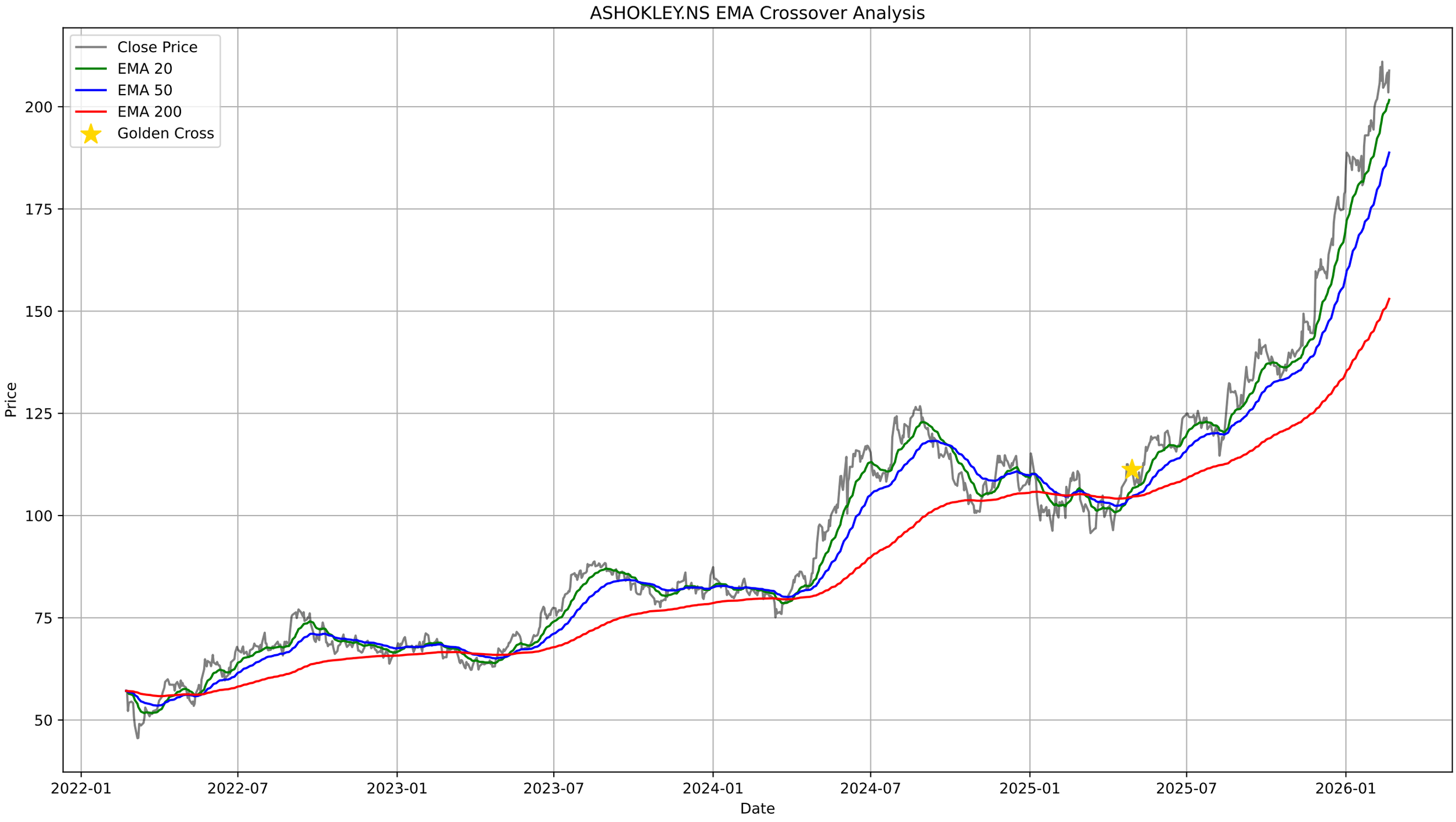


RS Composite Score Timeline



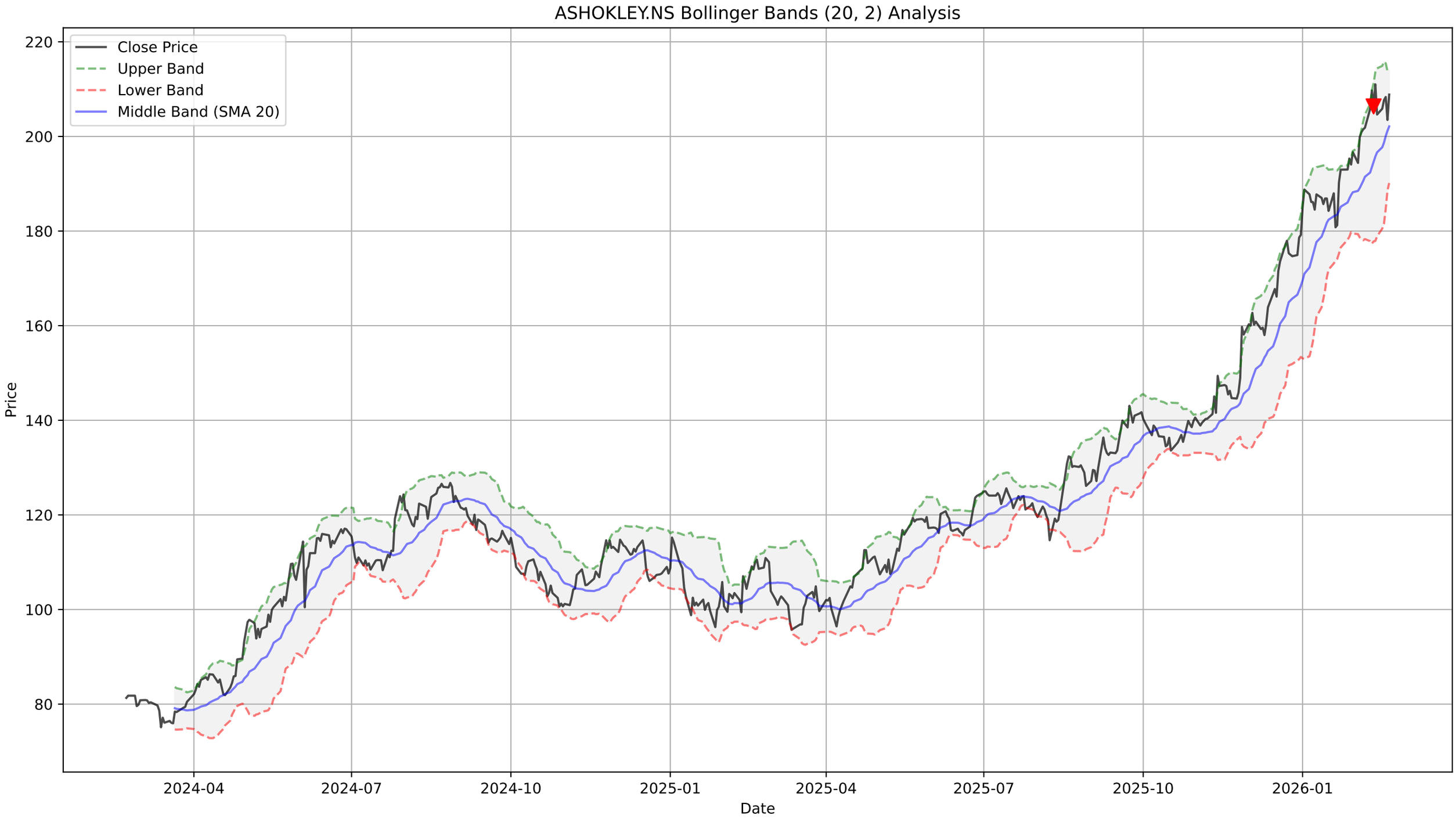
ASHOKLEY.NS - EMA Crossover Summary

EMA 20:	201.65
EMA 50:	188.78
EMA 200:	153.00
Trend Status:	**Strong Uptrend**
Golden Cross Date:	2025-04-29 00:00:00+05:30
Golden Cross Price:	111.20


ASHOKLEY.NS EMA Crossover Analysis
Close Price
EMA 20
EMA 50
EMA 200
Golden Cross
Price
200
175
150
125
100
75
50
2022-01
2022-07
2023-01
2023-07
2024-01
2024-07
2025-01
2025-07
2026-01
Date

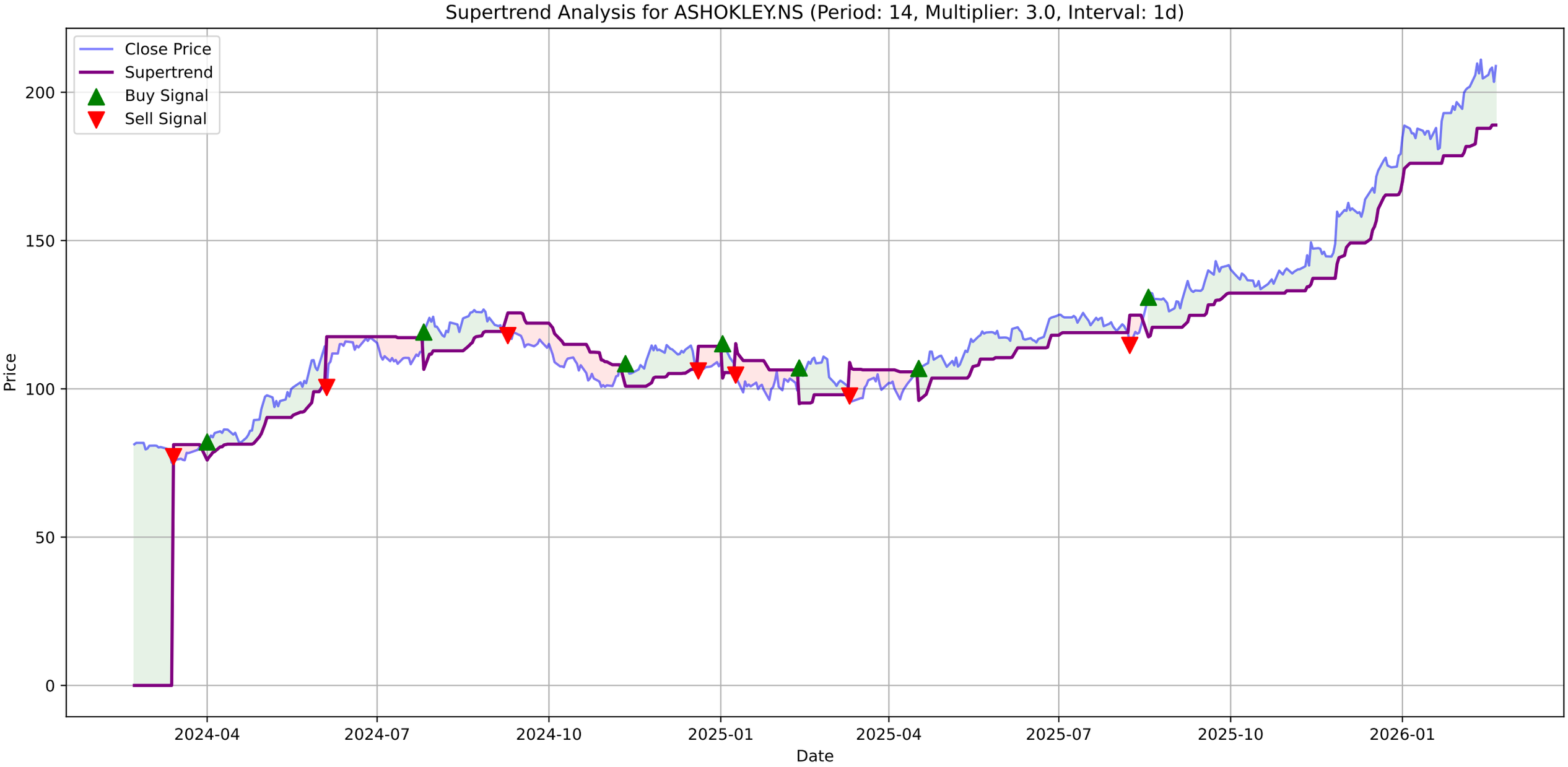
ASHOKLEY.NS - Bollinger Bands Summary

Current Price:	208.85
Upper Band:	214.08
Middle Band (SMA 20):	202.12
Lower Band:	190.16
%B:	0.7815
Band Width:	0.1183
Status:	Upper Half
Signal:	None
Recent Signal 1:	**Sell Signal at 2026-02-11 00:00:00+05:30**


ASHOKLEY.NS Bollinger Bands (20, 2) Analysis
Close Price
Upper Band
Lower Band
Middle Band (SMA 20)
Price
Date
220
200
180
160
140
120
100
80
2024-04
2024-07
2024-10
2025-01
2025-04
2025-07
2025-10
2026-01

ASHOKLEY.NS - Supertrend Summary

Status:	**UPTREND (Buy)**
Supertrend Value:	188.93
Signal Identified On:	2025-08-18

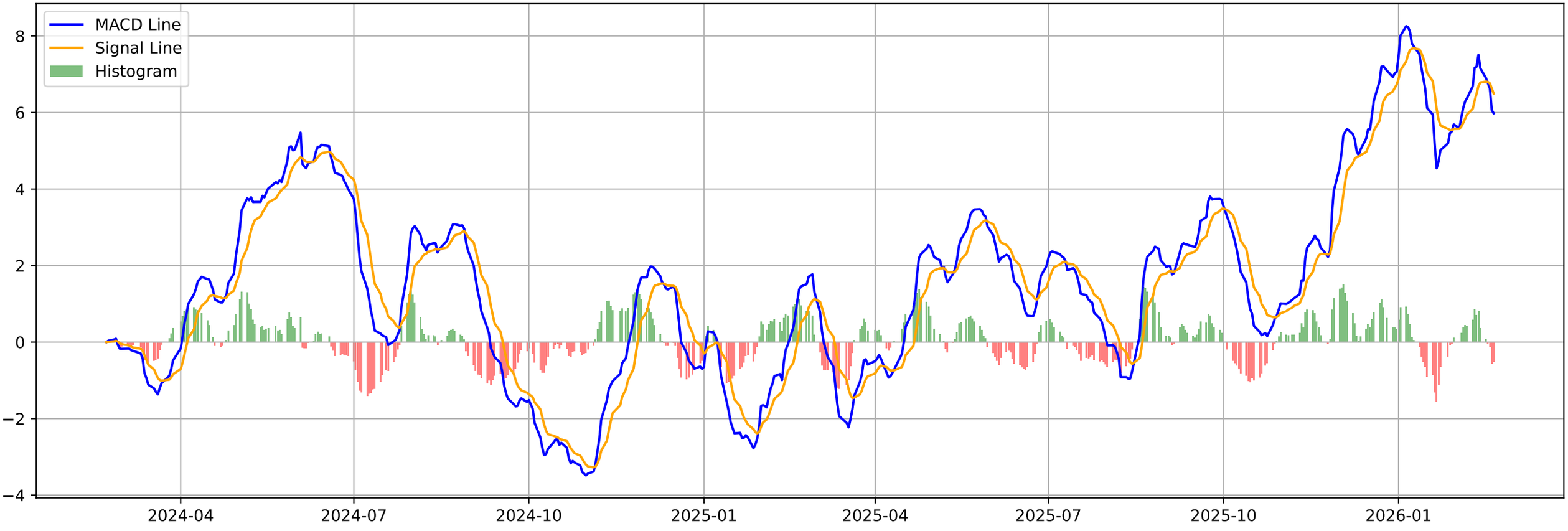

Supertrend Analysis for ASHOKLEY.NS (Period: 14, Multiplier: 3.0, Interval: 1d)
Close Price
Supertrend
Buy Signal
Sell Signal
Price
Date
0
50
100
150
200
2024-04
2024-07
2024-10
2025-01
2025-04
2025-07
2025-10
2026-01

ASHOKLEY.NS - MACD Summary

MACD Line:	5.98
Signal Line:	6.49
Histogram:	-0.52
Trend:	**Bearish**
Momentum:	**Weakening**
Signal:	None

ASHOKLEY.NS Price

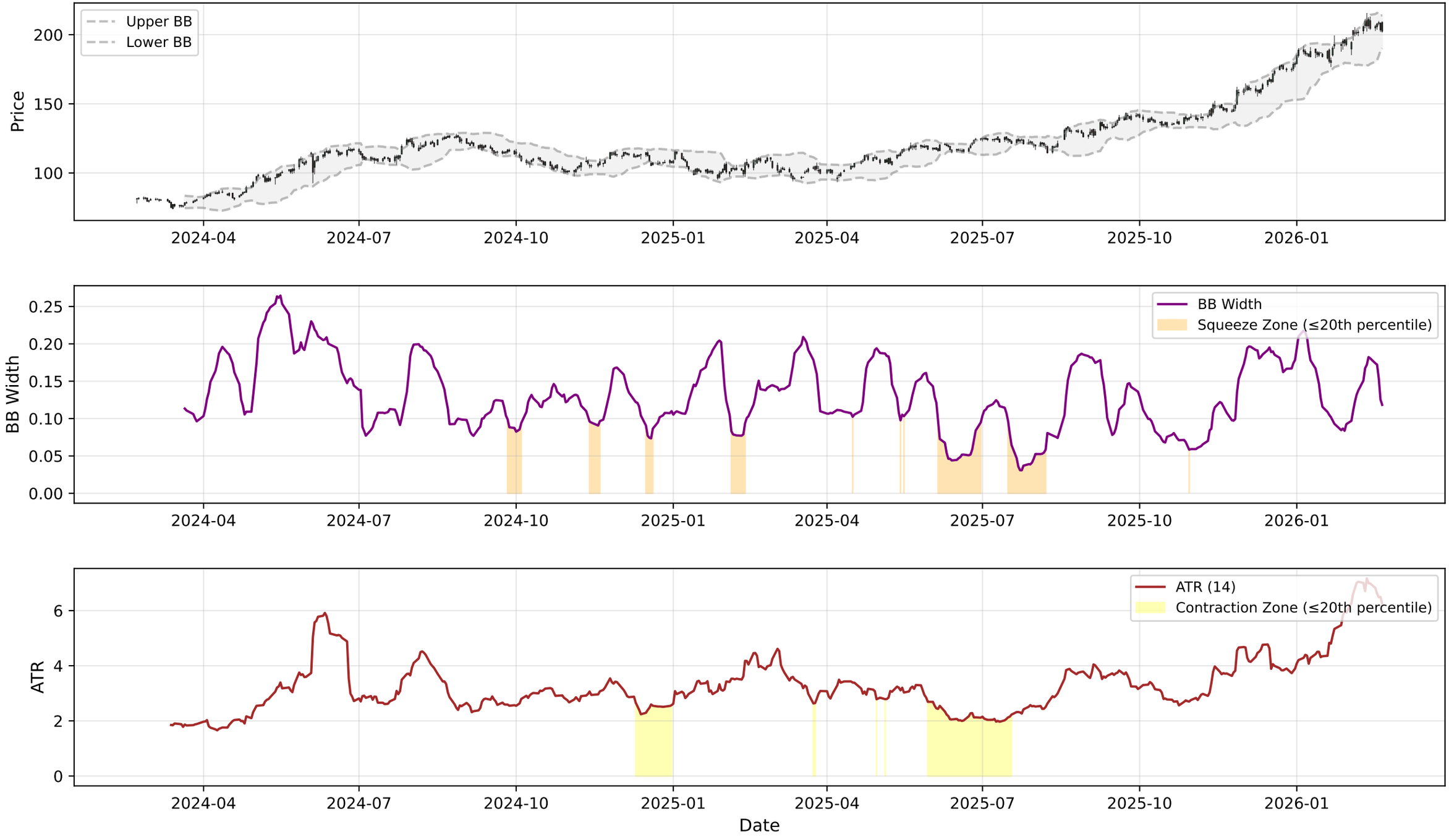
ASHOKLEY.NS MACD (12, 26, 9)



ASHOKLEY.NS - Volatility Squeeze Summary

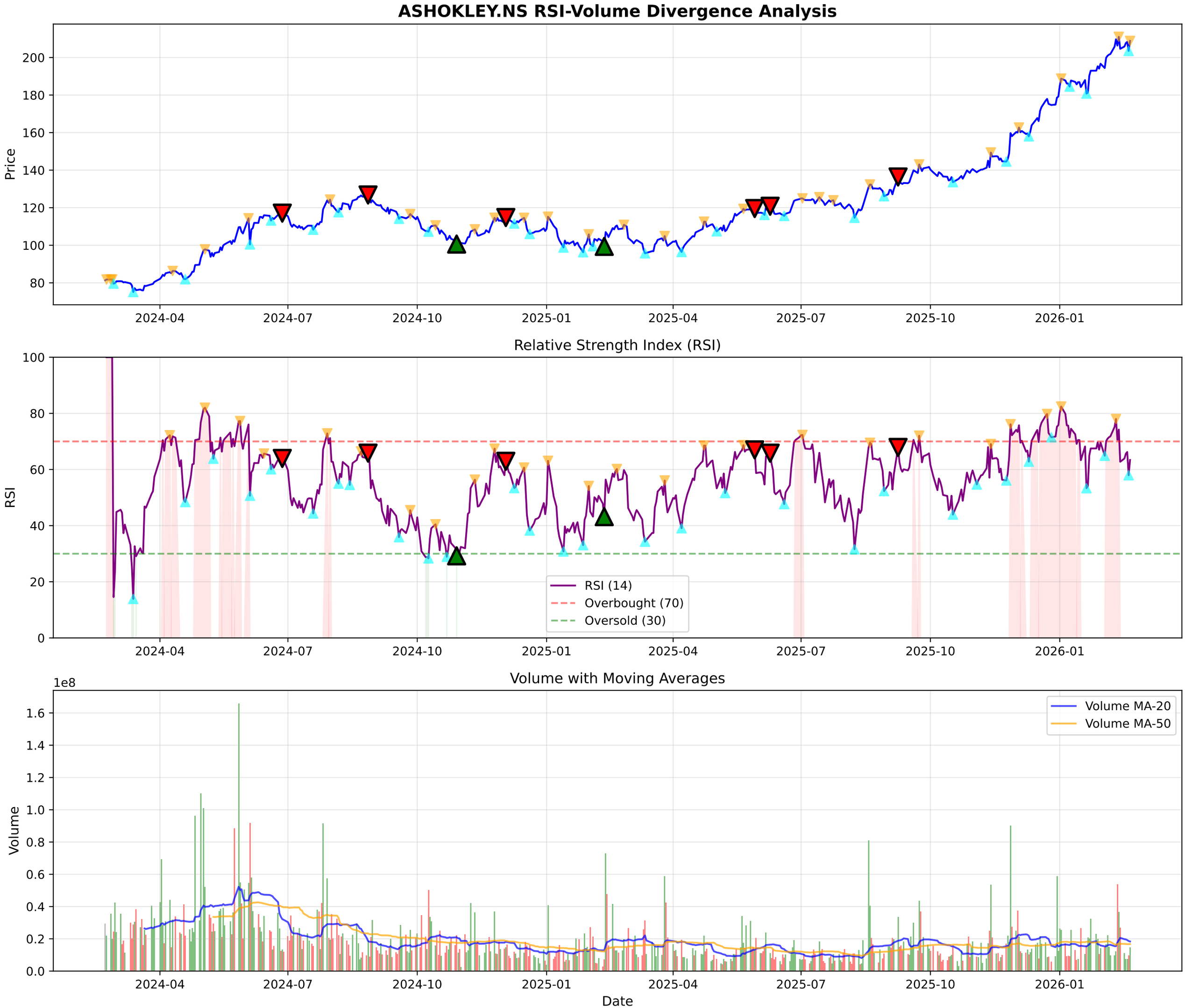
BB Width:	0.1183
ATR:	6.2407
Total Signals:	0

ASHOKLEY.NS - Volatility Squeeze Analysis



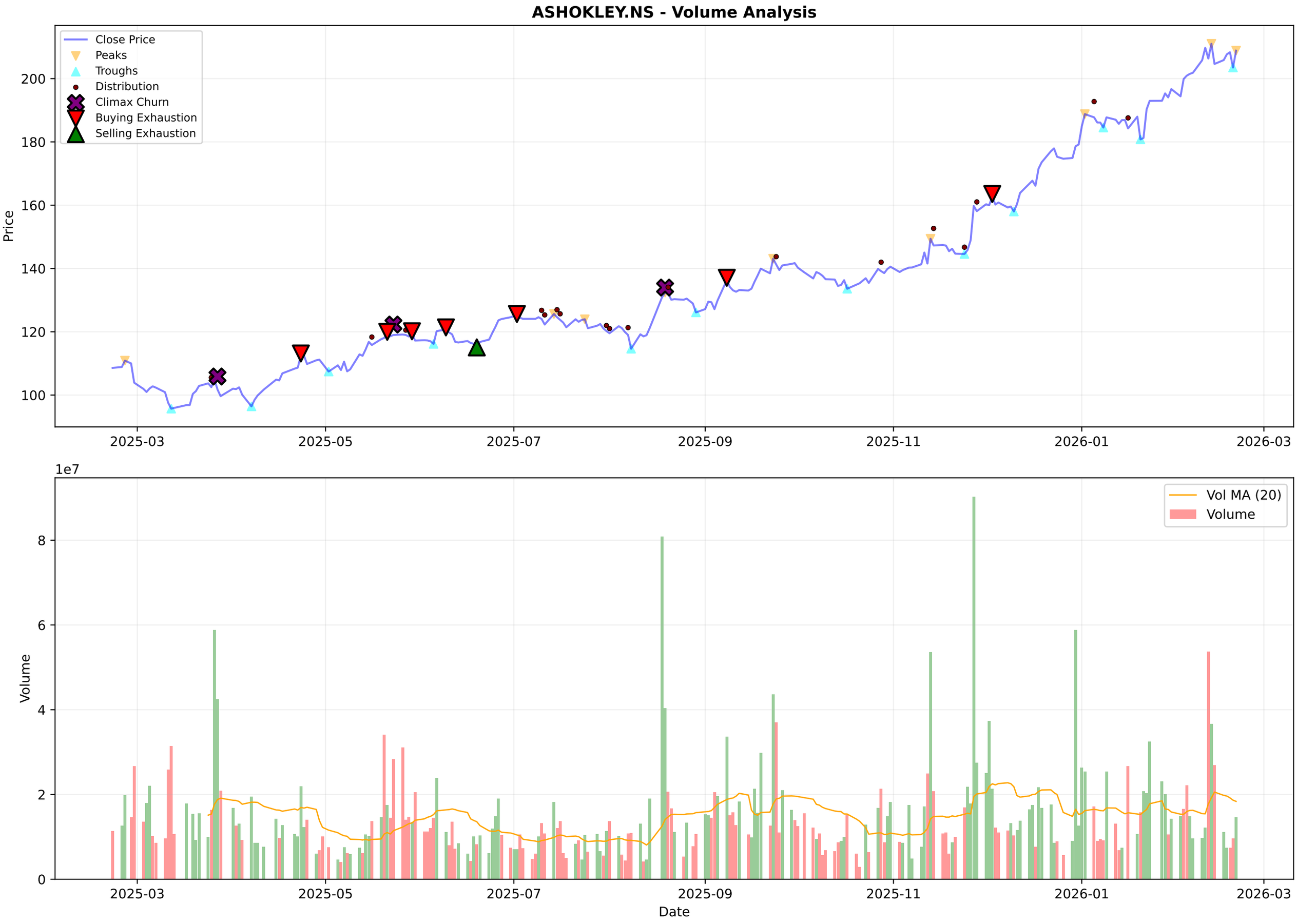
ASHOKLEY.NS - RSI-Volume Summary

Current RSI:	63.40
Current Volume:	14624480
Volume MA 20:	18370039
Bullish Divergences:	2
Bearish Divergences:	6
Bullish Div 1:	Date: 2024-10-29 00:00:00+05:30, Price: 100.66
Bullish Div 2:	Date: 2025-02-11 00:00:00+05:30, Price: 99.41
Bearish Div 1:	Date: 2025-06-09 00:00:00+05:30, Price: 120.77
Bearish Div 2:	Date: 2025-09-08 00:00:00+05:30, Price: 136.37


ASHOKLEY.NS RSI-Volume Divergence Analysis
Price
Relative Strength Index (RSI)
RSI
RSI (14)
Overbought (70)
Oversold (30)
Volume with Moving Averages
1e8
Volume
Volume MA-20
Volume MA-50
Date
2024-04
2024-07
2024-10
2025-01
2025-04
2025-07
2025-10
2026-01

ASHOKLEY.NS - Volume Analysis

═══ VOLUME ANALYSIS ═══:	
Status:	**33 Signals Detected**
:	
2025-11-28 [-]:	Distribution Day
2025-12-02 [-]:	Distribution Day
2025-12-03 [+]:	**Buying Exhaustion (Bearish Div)**
2026-01-05 [-]:	Distribution Day
2026-01-16 [-]:	Distribution Day


ASHOKLEY.NS - Volume Analysis
Close Price
Peaks
Troughs
Distribution
Climax Churn
Buying Exhaustion
Selling Exhaustion
Price
200
180
160
140
120
100
2025-03
2025-05
2025-07
2025-09
2025-11
2026-01
2026-03
1e7
Vol MA (20)
Volume
Volume
8
6
4
2
0
Date

ASHOKLEY.NS - Candlestick Classification Summary

═══ CANDLESTICK CLASSIFICATION ═══:	
Latest Classification:	**Buyer Control**
Recent Trend Score (10-day avg):	0.00
:	
Distribution:	
No Control:	119
Buyer Control:	59
Seller Control:	44
Buyer Strong Control:	4
Seller Strong Control:	2

ASHOKLEY.NS - Candlestick Classification
Seller Strong Control
Seller Control
No Control
Buyer Control
Buyer Strong Control
Price
220
200
180
160
140
120
1e7
Volume
8
6
4
2
0
2025-06-05
2025-07-01
2025-07-25
2025-08-21
2025-09-17
2025-10-14
2025-11-11
2025-12-05
2026-01-01
2026-01-28
Date

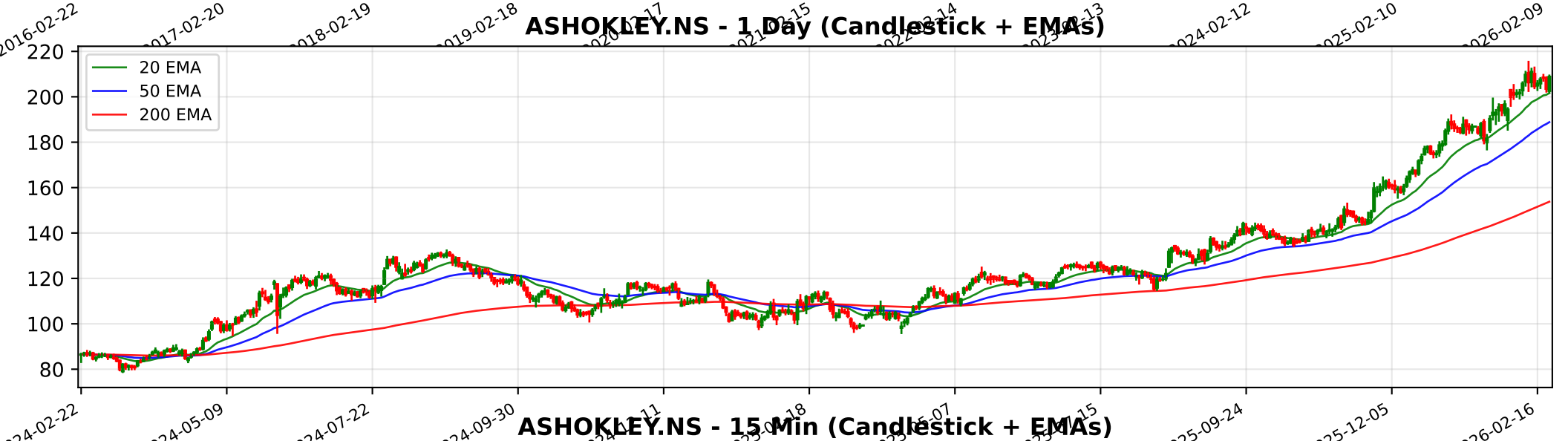
Multi-Timeframe Supertrend Analysis

Timeframe	Status	Value	Last Price	Signal Date
1 Week	**UPTREND (Buy)**	180.12	208.85	2025-05-12
1 Day	**UPTREND (Buy)**	188.93	208.85	2025-08-18
15 Min	**UPTREND (Buy)**	206.13	208.85	2026-02-20

Multi-Timeframe MACD Analysis

Timeframe	Trend	Momentum	Signal
1 Week	**Bullish**	Weakening	No Signal
1 Day	**Bearish**	Weakening	No Signal
15 Min	**Bullish**	Strengthening	No Signal

ASHOKLEY.NS - 1 Week (Candlestick + EMAs)
20 EMA
50 EMA
200 EMA
200
150
100
50
2016-02-22
2017-02-20
2018-02-19
2019-02-18
2024-02-12
2025-02-10
2026-02-09


ASHOKLEY.NS - 1 Day (Candlestick + EMAs)
20 EMA
50 EMA
200 EMA
220
200
180
160
140
120
100
80
2024-02-22
2024-05-09
2024-07-22
2024-09-30
2025-09-24
2025-12-05
2026-02-16

ASHOKLEY.NS - 15 Min (Candlestick + EMAs)
20 EMA
50 EMA
200 EMA
210
200
190
180

Trendlyne Snapshot - ASHOKLEY_main

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MARKETS / SECTOR : AUTOMOBILES & AUTO COMPONENTS / INDUSTRY : COMMERCIAL VEHICLES / ASHOK LEYLAND LTD.

Ashok Leyland Ltd.

NSE: ASHOKLEY | BSE: 500477

Ashok Leyland Live Share Price Today, Share Analysis and Chart

Turnaround Potential

In 4 Starfolio Baskets

ABOUT Incorporated in 1948, Ashok Leyland, the flagship of the Hinduja Group, is India's second-largest commercial vehicle manufacturer, the fourth-largest bus maker globally, and ranks 19th in truck manufacturing. With a diverse presence across the automo... Read More

208.85 5.36 (2.63%)

↑ Near 52W High of ₹215.42

15.1M NSE+BSE Volume

NSE 20 Feb, 2026 3:31 PM (IST)

Watchlist Portfolio Alert My Notes

Overview FORECASTER STOCK REPORT Buy Sell Zone F&O Financials News Reports Technicals Shareholding Deals Corporate Actions Alerts About

Durability score	Valuation Score	Momentum Score	Analyst Price Target
50.0 / 100	31.7 / 100	64.5 / 100	203
Medium Financial Strength	Mid Valuation	Technically Moderately Bullish	1Yr Price target downside is -3%

Turnaround Potential These stocks have average financials and valuation, but strong momentum indicating buying interest View Similar Embed DVM

FORECASTER

26 S W 12 10 O T 2

SWOT Analysis

Check Before You Buy

VIEW FULL CHECKLIST

High rank 13 Positive • 10 Negative

56.5% Pass in checklist

0 45 55 100

PE Valuation Check

Right Now Overvalued -18%

1 Year Forward Fairly Valued -4.1%

INSIGHT Ashok Leyland is overvalued at current PE, but fairly valued on future earnings

DVM
Key Metrics
Price Chart
Forecaster
Financials
Technicals
Shareholding
Deals
Documents
Corporate actions
Company Profile

Ashok Leyland Key Metrics

Preset Metrics: Preset Metrics

ROE Ann. %	Broker Average Target	Market Capitalization	Price to Book
25.4	199.67	122,675.5	
Below Industry Median	-4.40% downside	Market Runner Up	Below Industry Median

Trendlyne Snapshot - ASHOKLEY_forecaster

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MARKETS / SECTOR : AUTOMOBILES & AUTO COMPONENTS / INDUSTRY : COMMERCIAL VEHICLES / ASHOK LEYLAND LTD.

Ashok Leyland Ltd.

NSE: ASHOKLEY | BSE: 500477

Turnaround Potential

In 4 Starfolio Baskets

Download real time STOCK REPORT

208.85 5.36 (2.63%)

↑ Near 52W High of ₹215.42

15.1M NSE+BSE Volume

NSE 20 Feb, 2026 3:31 PM (IST)

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Ashok Leyland - ASHOKLEY - stock price prediction, stock forecast, target price, analyst ratings from 37 analysts

Ashok Leyland has a share price target of Rs 203, revenue growth forecast of 13.0%, and profit growth estimate of 12.6% for FY26, based on top 37 analyst calls.

Ashok Leyland FORECASTER - Analyst Estimates

FORECASTER DASHBOARD →

SHARE PRICE TARGET FORECAST

12 MONTH ESTIMATE

↓ MISS Ashok Leyland's share price target is below the current price, with a downside of 2.8%

EPS FORECAST

QUARTER ANNUAL

↑ HIT Ashok Leyland's EPS was higher than average estimate 3 times in past 3 years

CONSENSUS RECOMMENDATION

37 ANALYST Recommendations

BUY

The consensus recommendation from 37 analysts for Ashok Leyland is BUY